4.1 Introduction

Student activity 4.1

Ravi has a fruit shop for 10 years in a busy area. The shop is a rented property. He has gained loyal customers for his shop. The business has been consistently performing well and making good profit. Now, Ravi considers moving to a different city to open a big supermarket. He has cleared all his debts to outsiders. His friend, Raja is planning to buy Ravi's business by taking over all the unsold fruits, to continue the business. Ravi is asking for ₹ 1,00,000 to sell his business. But, Raja thinks the cost of inventory that Ravi holds now may be worth only ₹ 5,000. So, he is hesitant to buy the business. What is your advice to Raja. Why do you think that Ravi quotes more than the worth of the asset he holds?

Goodwill is the good name or reputation of the business which brings benefit to the business. It enables the business to earn more profit. It is the present value of a firm's future excess earnings. It is an intangible asset as it has no physical existence. It is shown under fixed assets in the balance sheet.

An old and well established business entity develops a good name and reputation among the public over a period of time, because of various reasons such as good quality of goods and services, location of the business, etc. This enables the business to earn more profit compared to a new business. The monetary value of such advantage is termed as goodwill.

4.2 Nature of goodwill

The nature of goodwill can be described as follows:

(i) Goodwill is an intangible fixed asset. It is intangible because it has no physical existence. It cannot be seen or touched.

(ii) It has a definite value depending on the profitability of the business enterprise.

(iii) It cannot be separated from the business.

(iv) It helps in earning more profit and attracts more customers.

(v) It can be purchased or sold only when the business is purchased or sold in full or in part.

Student activity 4.2

Interview a partner. Discuss with him/her to know the factors that have contributed to the firm's goodwill. Present your findings to the whole class.

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